



The Better Policy Project
Great Things are Coming

FX Intervention Strategies to Deal Effectively for Avoiding Low Inflation Traps

The Czech Experience

Douglas Laxton

The Better Policy Project



Three ingredients of FPAS



Where is the economy now?



What are the underlying forces?

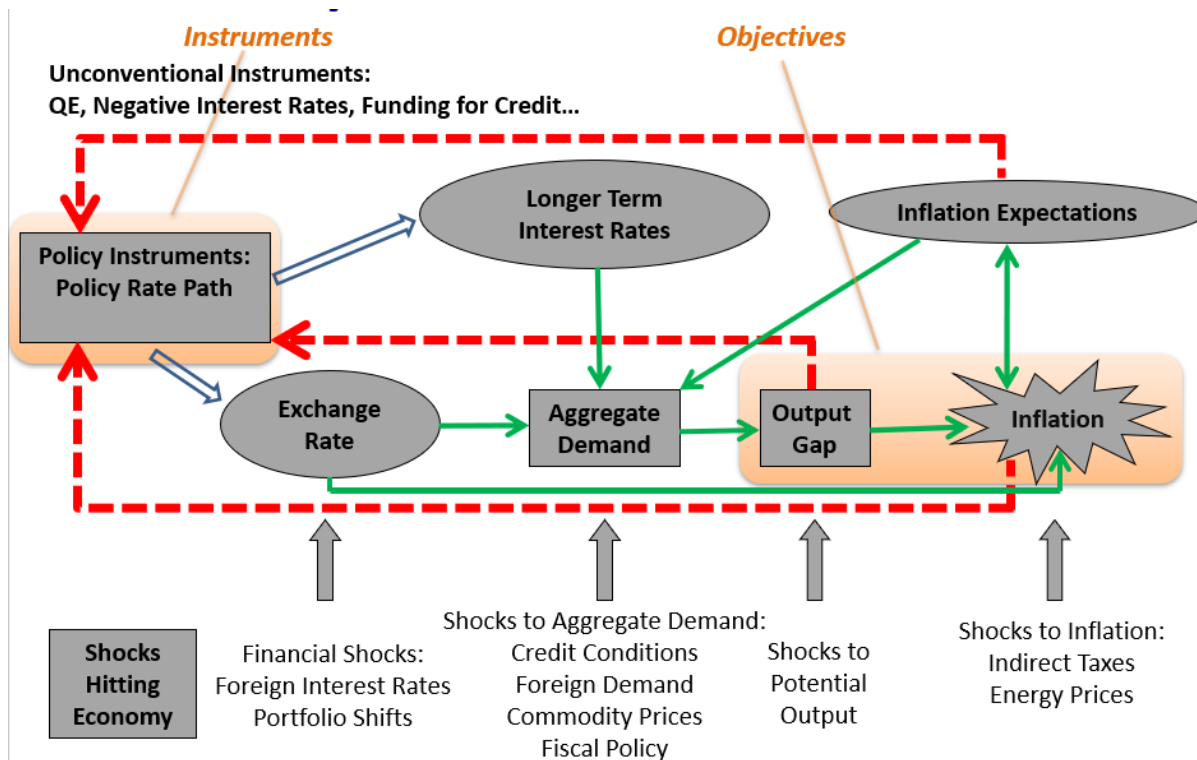


What do policy instruments (monetary, fiscal) need to do to achieve inflation and other objectives?

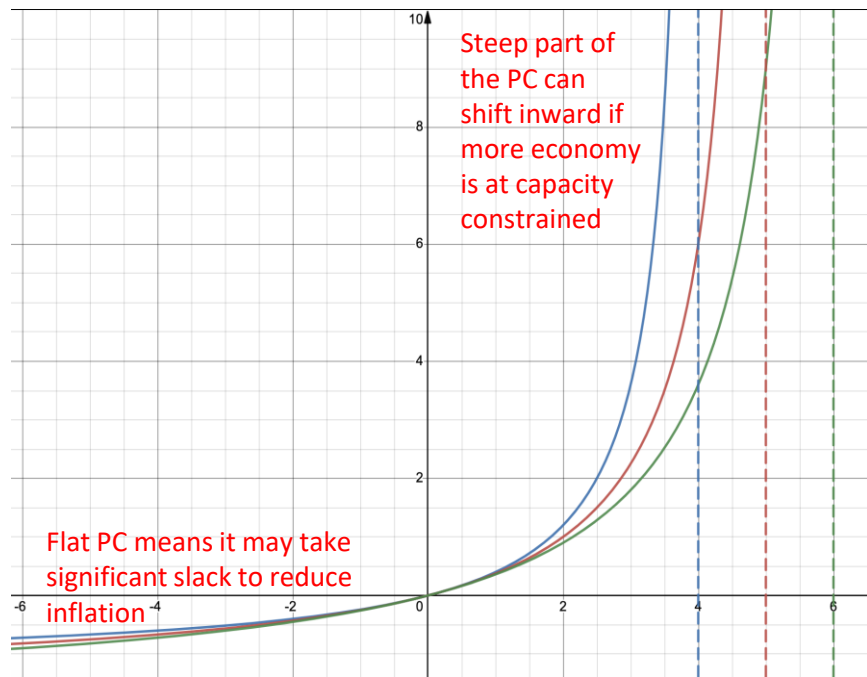


	No FPAS BoE, CBoB, BoJ, ECB	FPAS Mark I CNB, RBNZ, CBC, NBG	FPAS Mark II CBA
Three ingredients of FPAS	✗	✓	✓
Uncertainty: Scenario Analysis	✗	✗ ✓	✓
“Least Regrets” Policy	✗	✗	✓
Accountability & Transparency	✗	✓	✓

Monetary Transmission Mechanism



Convex PC has Implications for Dark Corners



FPAS Mark I

Focus on forward-looking and endogenous monetary policy

FPAS Mark II

Focus on nonlinearities, uncertainties and avoiding dark corners

Key Insight

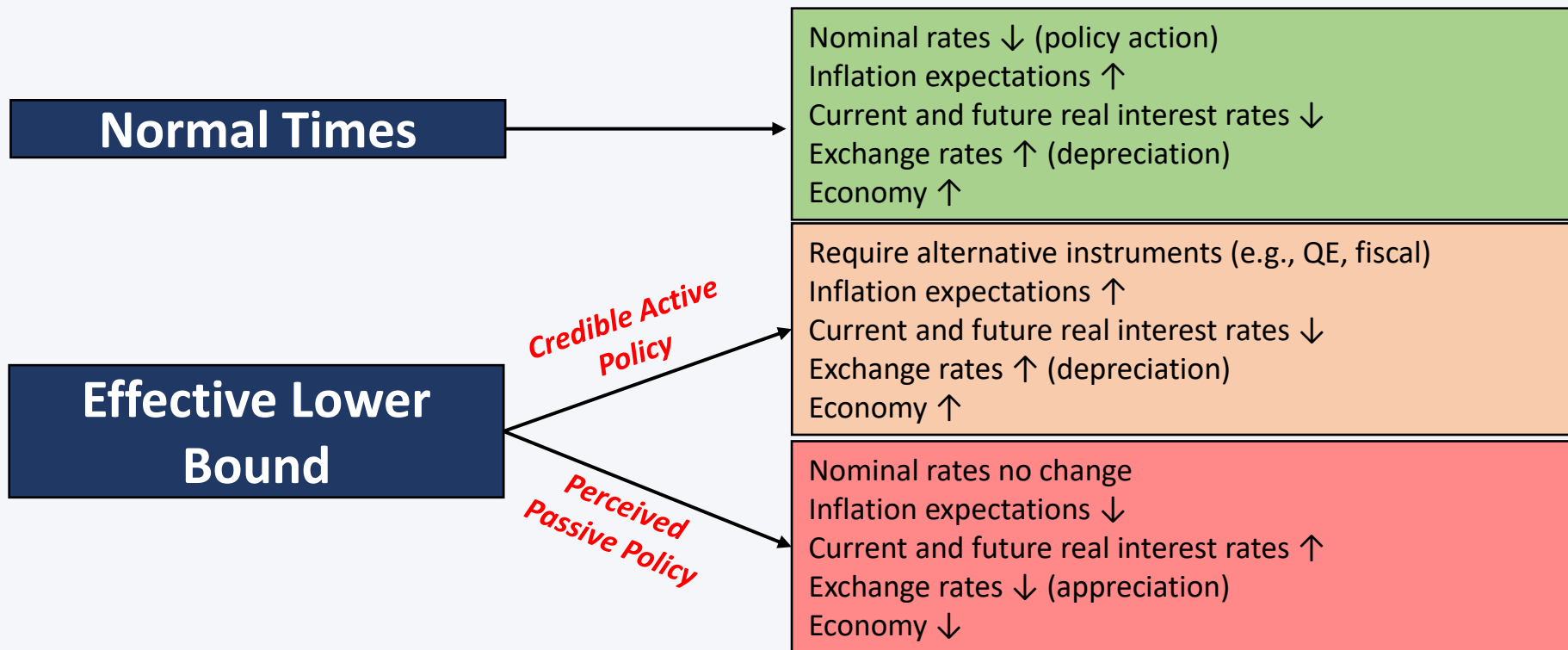
If the framework can help avoid dark corners, you can truly aim for price stability

Nonlinearities can result in Dark Corners

Analytical Framework

- Exchange rate as an instrument and not a target.
- Need few interventions if the strategy is credible.
- Regime-switching framework for thinking about different policy regimes :
probabilities of switching,
transitions from one regime to another;
- Model with unconventional policy as a part of analytical framework and effective communication.

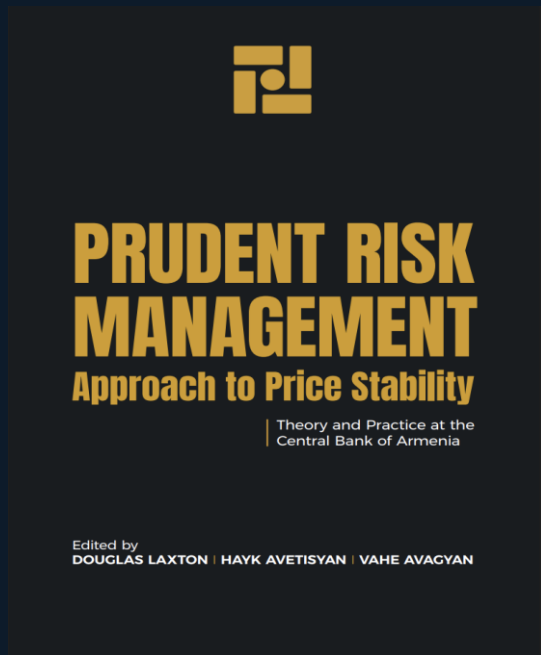
Market Interest Rates and Exchange Rates As Shock Absorbers/Amplifiers



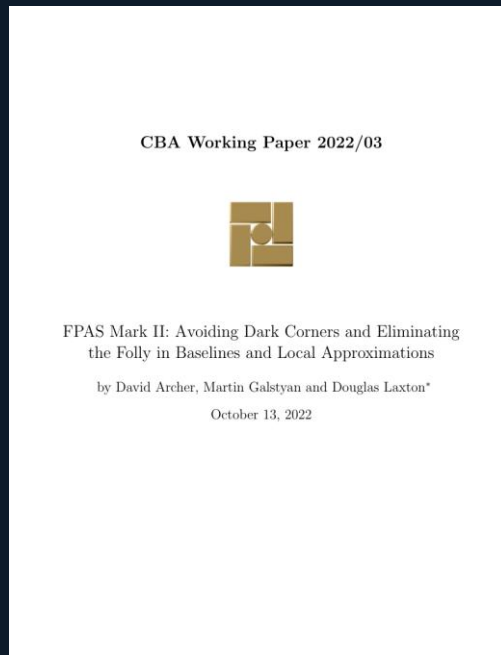
Exchange Rate as Shock Absorber and Amplifier: Case of Canada and Japan

	Real GDP Growth	Real Export Growth	Output Gap	CPI Inflation	3-yr Ahead Inflation Expectation	Long-term Interest Rate	Short-term Interest Rate	Bilateral USD Exchange Rate
Canada								
2007	2.0	1.1	1.9	2.1	2.1	4.3	4.2	100.0
2008	1.2	-4.5	0.9	2.4	2.1	3.6	2.4	99.3
2009	-2.7	-13.1	-3.5	0.3	2.1	3.2	0.4	106.4
Japan								
2007	2.2	8.7	0.4	0.1	0.9	1.7	0.6	100.0
2008	-1.0	1.4	-1.4	1.4	0.9	1.5	0.4	87.8
2009	-5.5	-24.2	-7.1	-1.3	0.3	1.4	0.1	79.5

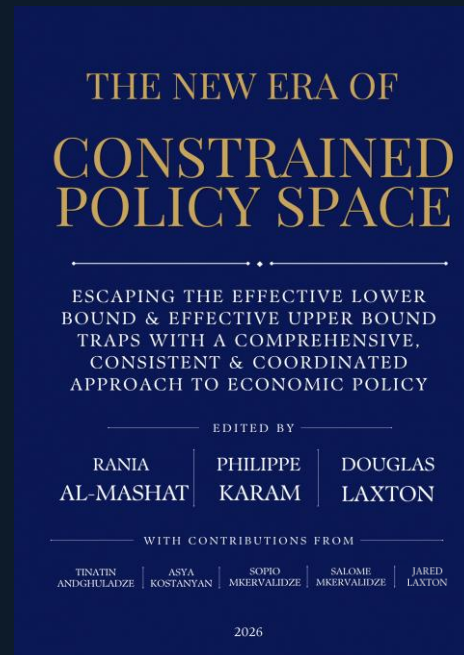
FPAS MARK II Journey



*Prudent Risk Management
Approach to Price Stability*

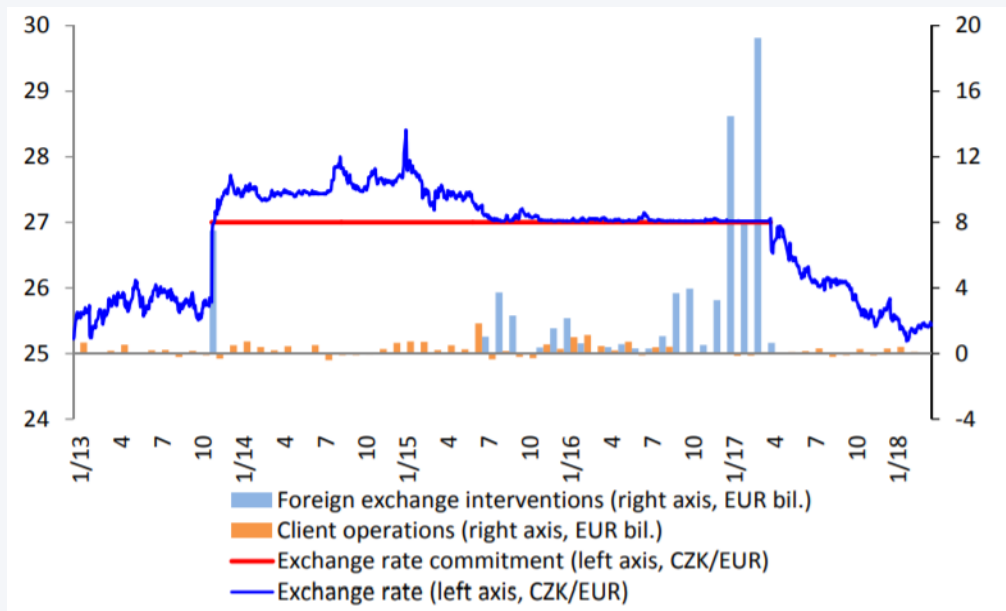


FPAS Mark II: Dark Corners Paper



*The New Era of
Constrained Policy Space*

Addressing ELB Issues can be done Easily with FX Strategies



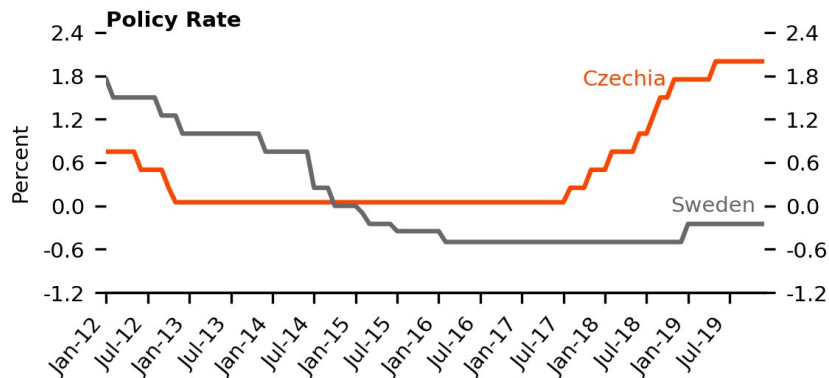
Unlimited Firepower

CBs in small open economies always have the power to depreciate — they can purchase unlimited amounts of foreign currency.

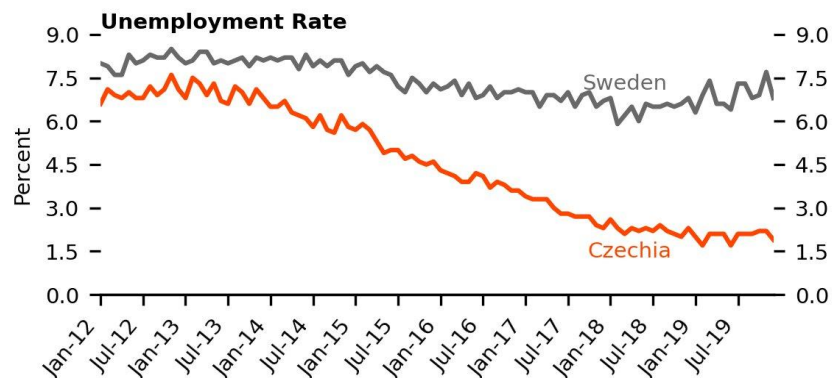
Credibility Matters

If the strategy is credible, CBs may not need any interventions to depreciate the currency.

CNB FX Intervention Strategies VS. Riksbank Negative Interest Rates:

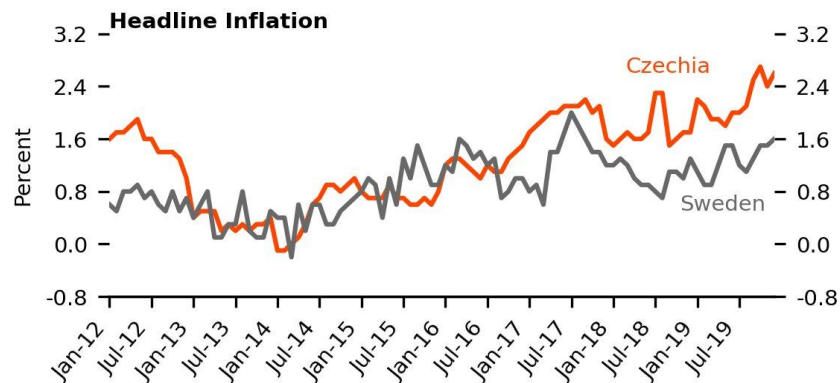


Czech: normalized; Sweden stuck negative

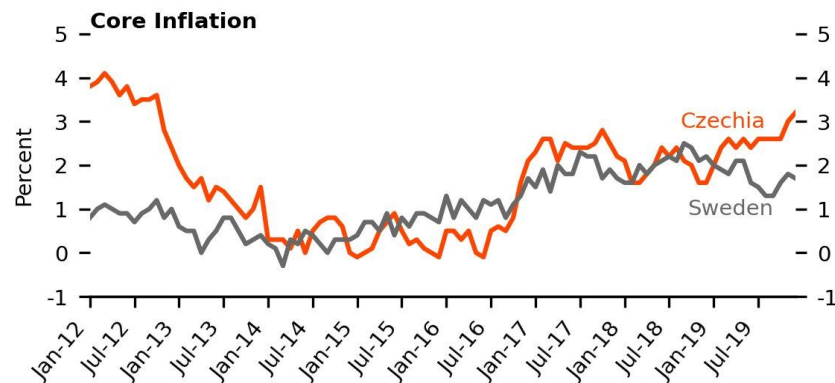


Czech: historic lows (~2%) achieved

CNB FX Intervention Strategies VS. Riksbank Negative Interest Rates:

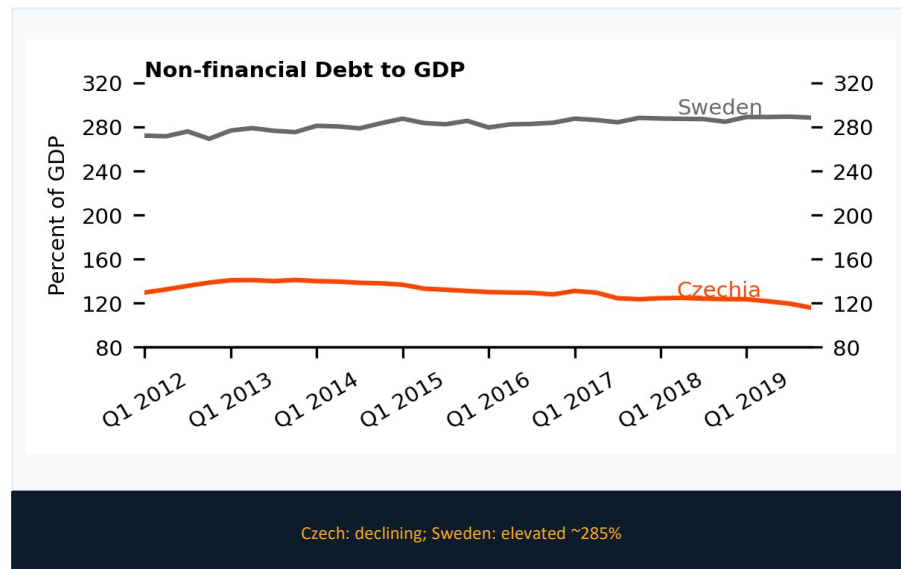
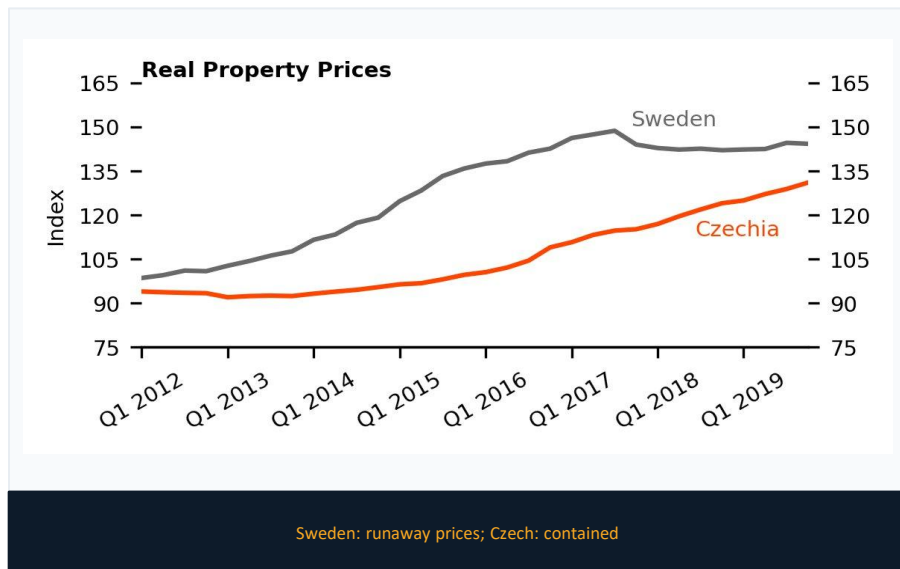


Czech: higher & on-target post-2017



Czech: successfully brought to target

CNB FX Intervention Strategies VS. Riksbank Negative Interest Rates:



Thank You!

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